CERNO GLOBUS

FIELD INTELLIGENCE

Issue 004 Monday, September 28, 2026 · Biweekly, 4 pages

Commercial & Facilities

Fire Protection · Paving · Facilities Services · Security Systems · Elevator · Venue & Catering

Six trades, one publication. Every item is something that moves a number on your P&L, changes what you must do by law, or changes what parts and labor cost you.

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BACKGROUND SIGNAL
The fraud that reads your invoices before it sends one

Read it online
This issue, and every one before it

MONEY

The Federal Reserve raised its target range a quarter point to 3.75%-4% on September 16, its first increase since 2023, and banks moved prime to 7%.

The Federal Open Market Committee voted 12-0 on September 16, 2026 to lift the federal funds target range to 3-3/4 to 4 percent, effective September 17. Interest on reserve balances went to 3.90% and the primary credit rate to 4.00% the same day. The Committee said inflation remains elevated and that the increase supports a timelier return to its 2 percent goal.

Prime moved with it. JPMorgan, KeyCorp and BNY posted prime at 7% from 6.75%, effective September 17; Wells Fargo and Bank of America announced the same 7% on September 17 effective September 18. Every floating line of credit, equipment note and variable-rate term loan priced off prime reprices on its next reset date, without a new signature from you.

The Fed's own forecast says this is not a one-off. The September Summary of Economic Projections puts the median funds rate at 4.1% at the end of 2026 and 4.1% again at the end of 2027 - roughly one more quarter point this year and then a year of standing still. Median PCE inflation for 2026 is 3.7%, core PCE 3.4%, real GDP growth 2.3% and unemployment 4.1%.

For this trade the pain is on both sides of the invoice. Your customers finance elevator modernizations, parking-lot rebuilds, sprinkler retrofits and access-control upgrades, and a higher hurdle rate pushes discretionary capital work right. Meanwhile your own cost of carrying receivables, inventory and trucks rose on September 17. Compliance-driven work - inspections, code retrofits, testing - is the part of the book that does not care about prime.

What to do about it: Call your bank this week and get the current index, spread and reset date in writing for every floating facility you hold. Re-run your 2027 capital list at 7% prime plus your spread and cut anything whose payback needed cheaper money. If a revolver balance is really term debt, ask to term it out now, while the Fed's own median shows no cut before 2028. Put a 30-day validity window on every quote you issue, so a rate-driven delay on the customer's side stops being your loss. Then tell whoever sells for you to lead with inspection, testing and code-driven retrofit work for the next two quarters, and to stop leading with discretionary modernization.

Federal Reserve, FOMC statement (Sept 16, 2026) · Federal Reserve, Implementation Note (Sept 16, 2026) · Reuters wire, banks raise prime rate after Fed (Sept 16)

FIRE PROTECTION

TWO ITEMS

REGULATION

NFPA 25's 2026 edition makes a frozen sprinkler system an impairment, requires fire department notification on every impairment, and sets 30- and 90-day correction windows.

Why it matters: Planned and emergency impairments require notifying the AHJ, the fire department and the alarm monitoring service, and ice in piping is itself an impairment that must be thawed or the pipe replaced. The 2026 edition adds recommended correction timeframes of 30 days for critical deficiencies and 90 days for noncritical ones - the numbers an insurer's expert will quote. Exposed: anyone inspecting or owning water-based systems where the 2026 edition is adopted; adoption varies by jurisdiction. Rewrite your impairment form this week to capture all three notifications and to date-stamp every deficiency.

IFSA, what changes in NFPA 25, 2026 edition (Apr 7) · QRFS, NFPA 25 2026 edition updates (June 23)

MONEY

Corrosion-mitigation equipment, pressure-reducing valves and abandoned systems all pick up new inspection duties in NFPA 25's 2026 edition, adding billable scope and owner cost.

Why it matters: Nitrogen generators, vapor-phase inhibitors and negative-pressure systems must now be inspected and tested to the manufacturer's instructions, and a corrosion-mitigation system found non-functional forces the sprinkler design to be recalculated at lower hydraulic values, which can mean larger pipe or more pumping capacity. Pressure-reducing valves gain a flow test and a range-of-motion test. Abandoned systems must be decommissioned: sprinklers, hose valves, hose and alarm devices removed, control-valve operating elements removed, and pipe marked. Price these as separate line items, and warn the owner about the recalculation risk in writing before you touch a nitrogen unit.

QRFS, NFPA 25 2026 edition updates (June 23)

PAVING

TWO ITEMS

SUPPLY

Missouri's posted asphalt cement price slipped to $627.50 for September 2026 from $631.25 in August, the first monthly decline since February and still 29.0% above January.

Why it matters: MoDOT's posted index is what Midwest asphalt escalation clauses key off; it fell $3.75 after seven months of increases. At $627.50 it is still 29.0% above the $486.25 posted in January 2026, so spring bids against a January index carry most of that gap. Exposed: contractors on fixed-price commercial lots, private roadways and HOA work with no escalator; state highway work with a price-adjustment clause is largely insulated. Check every unstarted paving contract signed before April for an asphalt adjustment clause. On the ones that do not, reprice or renegotiate now, and put a 30-day mix-price validity window on new quotes.

MoDOT, Asphalt Price Index

MONEY

A continuing resolution signed September 2 runs surface transportation and the rest of the government only to December 11, 2026, leaving an estimated $13.5 billion funding gap.

Why it matters: HR 6500, the Continuing Appropriations and Extensions Act, 2027, holds transportation programs at fiscal 2026 levels but drops the IIJA's advance appropriations - transit down about 20% and passenger rail about 83% - and leaves roughly $13.5 billion of highway and transit programs unfunded. The Senate cleared it 90-6 on August 10, the House 370-48. The replacement, the Build America 250 Act, would authorize $580 billion for fiscal 2027 through 2031, but is not law. Exposed: subcontractors on federally funded lettings scheduled after December 11. Ask your prime in writing which funding source your work order draws on and add a stop-work and delay-cost clause to anything crossing that date.

American Infrastructure, transportation stopgap (Sept 4) · Construction Dive, stopgap cuts transportation (Sept 2) · Legis1, federal highway funding vote (June 3)

FACILITIES SERVICES

TWO ITEMS

REGULATION

OSHA's heat enforcement program lapsed on April 8 and the heat standard has slipped to a supplemental proposal in December 2026, with the emergency response rule targeted for April 2027.

Why it matters: The National Emphasis Program on heat expired April 8, 2026 with no announced renewal, and the permanent standard has stalled since the post-hearing comment period closed October 30, 2025. Labor's plan now shows a supplemental proposed rule in December 2026, and a final Emergency Response standard targeted for April 2027. Exposed: janitorial, grounds, mechanical and building-services employers. The lapse is not amnesty: the General Duty Clause and state plans still support a heat citation. Keep the written heat plan, the water-rest-shade log and the acclimatization schedule in force, and put the December date on next year's budget calendar.

Ogletree, OSHA heat program expires, rule stalls (Apr 8) · EHS Leaders, OSHA heat and emergency rules plans (July 14) · OSHA, Heat Injury and Illness Prevention rulemaking

SUPPLY

Since April 6 Section 232 duties apply to the full customs value of imported equipment, at 50% for all-metal articles and 25% for derivatives, with a temporary 15% tier for some industrial and electrical gear.

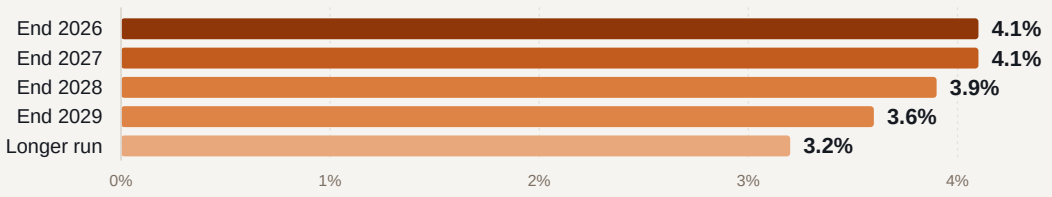
Why it matters: Duty is now assessed on the whole invoice, not metal content, so a pump, cart, enclosure, fixture or rooftop unit once dutied on a fraction of its value is dutied on all of it. Rates run 50% on articles made entirely or almost entirely of steel, aluminum or copper, 25% on moderate-metal derivative articles, 10% where the metal was smelted or cast in the United States, and a temporary 15% on certain industrial and electrical equipment that expires January 1, 2028. Products under 15% metal by weight are excluded. Make every equipment quote state the HTS line, the metal-content basis and whether duty is included - in writing, before you commit to a customer price.

White & Case, Section 232 metals tariff changes (Apr 7) · Green Worldwide, Section 232 full-value tariffs (Apr 2)

INFOGRAPHIC 1 / RATE PATH

The Fed's own median puts the funds rate at 4.1% at the end of both 2026 and 2027, with no cut showing until 2028.

Median FOMC projection of the midpoint of the federal funds target range, percent, Summary of Economic Projections released September 16, 2026.

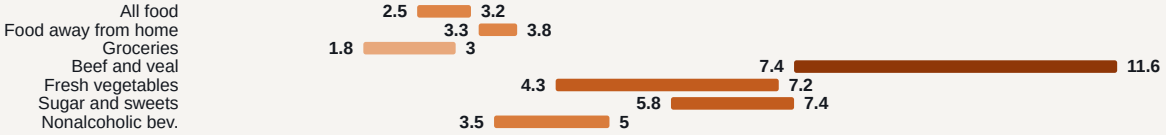


The midpoint after the September hike is 3.875%, so the 2026 median implies about one more quarter point this year and then a full year standing still. Median PCE inflation for 2026 is 3.7% and core 3.4%. Budget floating-rate carry and 2027 capital work at 7% prime, not at last year's cost of money. FOMC Projections materials, September 16, 2026

INFOGRAPHIC 2 / FOOD FORECAST BANDS

USDA's 2026 food price forecasts carry wide prediction intervals, widest of all on beef and veal.

Low and high ends of USDA Economic Research Service 2026 prediction intervals, percent change, Food Price Outlook released September 25, 2026.



Beef and veal can land anywhere from 7.4% to 11.6%, a 4.2-point spread on the largest protein line most kitchens buy. The band on restaurant meals, 3.3% to 3.8%, is the tightest here, so menu-price planning is safer ground than food-cost planning. Cost beef features at the top of the band and sides at the midpoint. Food Price Outlook, Summary Findings, USDA Economic Research Service

SECURITY SYSTEMS

TWO ITEMS

REGULATION

The FCC's Third Report and Order, adopted July 23, bars equipment authorization for devices containing Covered List logic-bearing components and sets FCC ID display deadlines at 180 and 270 days.

Why it matters: The measure this paper flagged in Issue 002 was adopted July 23, 2026. A device containing logic-bearing hardware from a Covered List entity - integrated circuits, modules, data-processing hardware - cannot be authorized, and that reaches inside cameras, intercoms, readers and panels with a compliant brand outside. The component prohibition takes effect 30 days after Federal Register publication; Category 1 equipment must display its FCC ID at 180 days, Category 2 at 270, and online marketplaces pick up their own screening duties. Exposed: integrators holding stock and anyone specifying by brand, not model number. Get a model-level authorization letter from each supplier before the next order.

Wiley, FCC Covered List and logic hardware (July 29) · Morgan Lewis, FCC Covered List expansion (Sept 18)

SUPPLY

The FCC's Covered List has grown three times in nine months: drones in December 2025, consumer-grade routers in March 2026, and advanced robotic devices and power inverters in July 2026.

Why it matters: Each addition to the list can strand equipment already specified on a job. Hikvision and Dahua have been listed since March 12, 2021, but only for public safety, security of government facilities, physical security surveillance of critical infrastructure and other national security purposes - so the gear still turns up on ordinary commercial installs, and an attestation naming the use case is worth more than one naming the brand. The July 2026 addition of advanced robotic devices pulls patrol and building-service robots into scope. Exposed: anyone quoting a 90-day project off a distributor catalog. Re-verify authorization at order placement, not at bid, and say so in your proposal terms.

Morgan Lewis, FCC Covered List expansion (Sept 18) · FCC, Covered List, Secure Networks Act Section 2

ELEVATOR

TWO ITEMS

MONEY

Michigan is rewriting its elevator licensing rules to restate base fees at $175 for an annual inspection and $300 for a device installation permit, with up to 3% annual increases allowed.

Why it matters: Michigan's schedule in force through June 27, 2027 already charges $190.55 to $242.05 for annual certificate and inspection fees and $360.50 to $535.60 for installation permits, so the draft resets the escalator's base rather than cutting anyone's bill. Draft fees include $100 for a contractor license and renewal, $100 for the exam, $40 for a journeyperson license, $15 for helper registration and $250 to appeal. The same rule set reorganizes licenses into Class A unrestricted, Class B repair, maintenance and testing only, and Class C device-specific, with a separate exam for each Class C specialty. Check which class each mechanic needs and book examinations early.

Michigan LARA, Rule Set 2025-53 LR licensing (July 6) · Michigan elevator fee schedule (through June 27, 2027)

REGULATION

Michigan's companion rule set adopts ASME A17.1-2022, changes periodic testing intervals, and writes in remote monitoring and automated equipment that rides elevators, taking effect 90 days after filing.

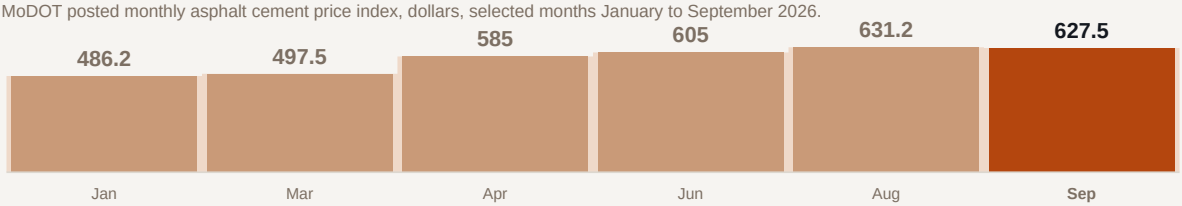
Why it matters: The draft adopts A17.1-2022 along with A17.2-2023, A17.3-2017, A18.1-2023 and A90.1-2023, and alters periodic testing schedules and inspection frequencies - the line items on your maintenance contract. It also adds requirements for remote monitoring and for automated equipment (delivery and cleaning robots) that calls and rides elevators; that is new interface work you should be billing for. ASME has since issued A17.1-2025, which adds emergency responder radio coverage provisions, elastomeric buffer requirements and seismic updates, so a 2022 adoption leaves the state a full edition behind. Ask your service provider in writing which edition your test schedule is priced to.

Michigan LARA, Rule Set 2025-54 LR elevator code (July 7) · ANSI, ASME A17.1-2025 elevator safety code (Feb 23)

INFOGRAPHIC 3 / ASPHALT TURNS

Missouri's posted asphalt cement price fell in September for the first time since February.

MoDOT posted monthly asphalt cement price index, dollars, selected months January to September 2026.



One month down $3.75 after a $145 climb from January to August is not a trend. September is still 29.0% above January. Treat the dip as a window to lock mix pricing rather than as relief, and keep escalation language in every contract that runs past the winter shutdown. Asphalt Price Index, Missouri Department of Transportation

VENUE & CATERING

TWO ITEMS

MONEY

USDA cut its 2026 food forecasts on September 25: all food to 2.9%, restaurant meals to 3.5% and groceries to 2.4%, and published its first full 2027 outlook.

Why it matters: The September 25 release trimmed every headline number from the August 25 one - all food from 3.0% to 2.9%, food away from home from 3.6% to 3.5%, food at home from 2.5% to 2.4%. Restaurant inflation is still forecast 1.1 points above grocery inflation. USDA also forecasts 2027: all food 2.0%, food away from home 2.6%, food at home 1.8% - but the 2027 intervals are enormous, minus 5.0% to plus 9.2% for groceries. Exposed: anyone about to sign a 2027 catering or banquet contract off a point estimate. Price 2027 from the interval, not the midpoint, or put a commodity reopener in the contract.

USDA ERS, Food Price Outlook (Sept 25, 2026 release) · USDA ERS, Food Price Outlook (Aug 25, 2026 release)

SUPPLY

USDA still forecasts beef and veal up 9.4% for 2026 while eggs fall 29.4%, pork rises 1.2% and poultry 1.0%, a spread of nearly 39 points across the protein case.

Why it matters: September 25 forecasts: beef and veal at 9.4%, with an interval of 7.4% to 11.6%, plus fresh vegetables 5.7%, sugar and sweets 6.6% and nonalcoholic beverages 4.2%, all run above the 2.4% grocery average. Eggs are down 29.4%, pork up 1.2% and poultry up 1.0%. Exposed: steak-forward menus and beef-heavy buffet and banquet packages; breakfast, egg and poultry programs are where the relief sits. Recost your three highest-volume entrees at the new numbers this week and move at least one beef feature to poultry or pork for the fourth quarter. Do not discount the egg saving away - bank it against beef.

USDA ERS, Food Price Outlook (Sept 25, 2026 release)

THE BACKGROUND SIGNAL

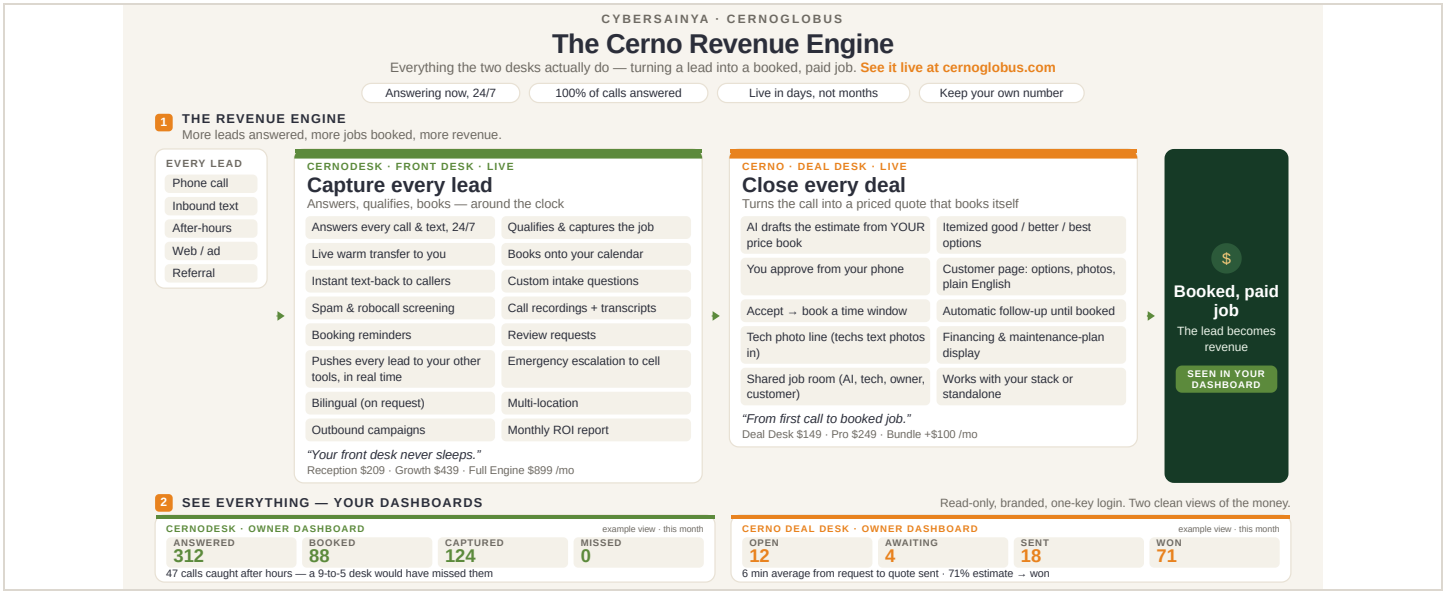
The fraud that reads your invoices before it sends one

The FBI's Internet Crime Complaint Center took 24,768 business email compromise reports in 2025, with losses of $3.05 billion — a record, after dipping to $2.77 billion in 2024 from $2.95 billion in 2023. Across all internet crime it logged 1,008,597 complaints and $20.88 billion in losses. Reported cases only, so read it as a floor.

Business email compromise, not ransomware, is the one that should concern a commercial contractor. Someone gets into a mailbox, reads until they understand how you invoice and who pays you, then sends a real-looking progress billing with different bank details. No malware, no warning — just a payment that never arrives and an argument about who eats it. A trade that emails proposals, work orders and vendor invoices all day is the shape this is built for. The quieter number is adoption: under 20% of firms with fewer than 20 staff use AI at all.

What to do about it: You don't need a security program. You need multi-factor authentication on email and your accounting login, and one rule everybody follows: nobody changes bank details on the strength of an email or a call — you ring the number you already had on file and confirm. That covers most of it, and costs nothing. The part it doesn't — how the systems are set up — is the day job of our parent company, CyberSainya.

FBI Internet Crime Complaint Center, 2025 Internet Crime Report — reported cases only, rounded from $2,946,830,270, $2,770,151,146 and $3,046,598,558. U.S. Census Bureau, Business Trends and Outlook Survey, May 3, 2026.



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